

mature, the growth outlook will improve. Considering these factors... NIM could reach and surpass the pre-merger level in the medium term," says Kamtekar.

Jagdishan assures investors that the return on assets (ROA) is intact. If one looks at the long-term trajectory of over two decades, the bank has maintained an ROA of 1.8-2%. Even when the business mix changed during the Covid-19 pandemic and the bank's margins declined, the ROA was maintained. This will continue, he asserts.

BUNDLING OPPORTUNITIES

HDFC's mortgage business is a good fit with the banking component because of the low-cost funds and the diversified product basket. While the yields are low in the mortgage business, the bank is bundling other services with it. Arvind Kapil, Group Head-Mortgage Banking Business, HDFC Bank, says the home loan business has become both an asset and liability generator and is growing significantly. This leads to a higher stickiness quotient and stronger customer connection for a longer duration, enabling cross-selling. "The bank has already commenced cross-selling its products and services through the service centres of the erstwhile HDFC Ltd from February 1, 2024," says Kapil.

As part of this strategy, the bank's home loan customers will be able to avail of a wide range of products and services like consumer durables loans, credit cards, wealth advisory, unsecured loans, and home refurbishment loans. "The mortgage team that now serves as relationship managers is expected to cross-sell at no incremental acquisition cost thanks to digital journeys," adds Kapil.

By mid-March, the bank plans to launch a straight-through journey for home refurbishment loans.

HURDLES AHEAD

- **The wholesale book, which offers relatively lower yields, is larger than the retail book**
- **Yields are low in the newly-acquired mortgage business**
- **The unsecured business is overheating, with a potential slowdown due to increased risk weights**
- **The CASA ratio has declined from 44% to 38%**
- **High-cost borrowings have increased post-merger**

NEW OPPORTUNITIES

- **Use the wholesale book for other fee-based business activities to increase ROI**
- **Use its large balance sheet for infra and financing to groups and conglomerates**
- **Expand operations in the two-wheeler and gold loan segments, among others, in semi-urban and rural areas**
- **Credit lines on UPI present a significant opportunity in the personal loans segment**
- **Implement cross-selling strategies for mortgage customers, both in assets and liabilities**

Similarly, by April, it is lining up a home saver product, a liability product for existing and prospective home buyers.

After the merger, the share of unsecured loans on its books declined from 30% to nearly 22%. This has opened a huge window to get into high-yield unsecured loans. But the Reserve Bank of India's decision to raise risk weights in the unsecured segment has slowed down the growth here. In fact, investors were banking on a higher share of unsecured debt to push up the NIM. The bank, however, has always gone against the current. It is not pushing unsecured loans since there is overleveraging in the system.

Considering this, the question remains: Why are investors cautious when the bank appears to be on such a strong wicket? Kamtekar of Bonanza Portfolio says one of the primary reasons for the underperformance of the stock is the uncertainty surrounding the operations of the merged entity. "The growth rate of the combined entity was expected to be slower. Initially, the bank witnessed a sell-off from FIIs due to a change in the weighting in the various global indices. This led to the stock becoming range-bound over the last two years," says Kamtekar.

In the last two to three years, it looks like short-sellers may have made more money than long-term investors. Some would argue that the short-sellers are playing with fire, and as the pain points associated with the merger dissipate, the stock will reflect its true potential.

For Jagdishan, the focus remains solely on delivering on his promise. **BT**

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